

**Verdict:** Selective risk-on, not automatic offense. Breadth and credit support review work, but manual-dependency trust, mixed market dates, Technology concentration, and owner-gated portfolio authority block any applied mutation.

|                                                                         |                                                                               |                                                                                           |                                                                   |
|-------------------------------------------------------------------------|-------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------|
| <div>TRUST</div> <div><div>review_required</div>manual_dependency</div> | <div>PRESENTATION</div> <div><div>—</div>Internal review candidate only</div> | <div>CAPITAL ACTION</div> <div><div>—</div>No trade / sizing / allocation authority</div> | <div>SECTOR BOARD</div> <div><div>degraded</div>review_only</div> |
|-------------------------------------------------------------------------|-------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------|-------------------------------------------------------------------|

**Visible trust limits:** Market-state sources are not aligned on one trading day: 2y, spx; sector\_correlation\_check status=degraded; band proposals status=needs\_review; band context is review debt only.

|                                                                                                                        |                                                                                                                                              |                                                                                                                          |
|------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <div>IMPROVING LEADERSHIP</div> <div><b>Materials, Technology</b></div> <div>Leadership does not equal approval.</div> | <div>UNDEREXPOSED SECTORS</div> <div><b>7</b></div> <div>Communication Services, Consumer Discretionary, Consumer Staples, Health Care</div> | <div>PENDING PROMOTION REVIEW</div> <div><b>CAT, GS, LLY, NVDA</b></div> <div>Approved/promoted separate: ETN, JPM</div> |
|------------------------------------------------------------------------------------------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|

PORTFOLIO IMPLICATIONS

- Do not treat improving Technology leadership as a green light to add: direct Technology is already at the stated cap and AI-power correlation remains elevated.
- Underexposure is broad; the useful work is quality candidate review, not forced sector filling.
- Pending promotion-review candidates are CAT, GS, LLY, NVDA; already approved/promoted names are shown separately as ETN, JPM.
- Strict deployment surface currently shows deployable-now names: ETN; almost-deployable names: GOOG, GS, JPM, MSFT, NVDA.

Composite macro read

| <div>FED TARGET</div> <div>3.5%–3.75%</div> <div>Next FOMC 2026-06-17</div> | <div>10Y TREASURY</div> <div>4.39%</div> <div>As of 2026-05-11</div> | <div>VIX</div> <div>18.23</div> <div>As of 2026-05-11</div>                              |
|-----------------------------------------------------------------------------|----------------------------------------------------------------------|------------------------------------------------------------------------------------------|
| <div>HY OAS</div> <div>2.79</div> <div>Credit: benign</div>                 | <div>BREADTH</div> <div>8/11</div> <div>broad / recovering</div>     | <div>ENERGY / DOLLAR</div> <div>WTI 98.36 · DXY 98.001</div> <div>Brent 104.27</div>     |
| Signal                                                                      | Current read                                                         | Positioning meaning                                                                      |
| Policy / rates                                                              | Target 3.5%–3.75%; 2s10s 47.0 bps                                    | Restrictive-policy pause; no broad valuation tailwind assumed.                           |
| Credit                                                                      | IG OAS 0.79; HY OAS 2.79; regime benign                              | Benign credit supports review work but does not grant deployment authority.              |
| Breadth                                                                     | 8/11 sectors above 50DMA; regime recovering                          | Participation is constructive enough for candidate review; leadership remains selective. |
| Inflation / energy                                                          | Brent 104.27; WTI 98.36                                              | Energy/inflation pressure remains an invalidation path for risk-on posture.              |

**Deployment implication:** Review quality names and sector gaps, but wait for clean entry, catalyst, and owner-approved mutation gates before any portfolio action.

Leadership and underexposure

Status question: Where is sector leadership improving, where are we underexposed, and which names deserve promotion review?

Concentration: Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN.

| Sector                               | Current read                                                          | Exposure / gap                                                                  | Review action                                                                                                            |
|--------------------------------------|-----------------------------------------------------------------------|---------------------------------------------------------------------------------|--------------------------------------------------------------------------------------------------------------------------|
| <b>Communication Services</b><br>XLC | <div>deteriorating</div> <div>1d RS -0.7193; 5d RS -2.7334</div>      | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: —</div>        | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Consumer Discretionary</b><br>XLY | <div>deteriorating</div> <div>1d RS -1.2548; 5d RS -1.9061</div>      | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: BKNG</div>     | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Consumer Staples</b><br>XLP       | <div>deteriorating</div> <div>1d RS -0.8907; 5d RS -2.8638</div>      | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: —</div>        | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Energy</b><br>XLE                 | <div>deteriorating</div> <div>1d RS 1.6225; 5d RS -7.4284</div>       | 10.0% · within_limit<br><div>Candidates: CVX, LNG, XOM</div>                    | Maintain review-only monitoring; no canonical mutation or capital action.                                                |
| <b>Financials</b><br>XLF             | <div>deteriorating</div> <div>1d RS 0.1496; 5d RS -3.2439</div>       | 21.0% · near_cap<br><div>Candidates: GS, JPM</div>                              | Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.     |
| <b>Health Care</b><br>XLV            | <div>deteriorating</div> <div>1d RS 0.8897; 5d RS -2.7082</div>       | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: LLY</div>      | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Industrials</b><br>XLI            | <div>deteriorating</div> <div>1d RS 0.3795; 5d RS -1.0493</div>       | 7.0% · within_limit<br><div>Candidates: CAT, ETN, VRT</div>                     | Existing exposure with queued candidates: keep promotion review owner-gated and check risk/sizing before any change.     |
| <b>Materials</b><br>XLB              | <div>improving</div> <div>1d RS 1.1561; 5d RS 0.3017</div>            | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: —</div>        | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Real Estate</b><br>XLRE           | <div>deteriorating</div> <div>1d RS 0.5541; 5d RS -1.4255</div>       | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: —</div>        | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |
| <b>Technology</b><br>XLK             | <div>improving_leadership</div> <div>1d RS 0.4306; 5d RS 6.0511</div> | 25.0% · at_cap<br><div>Candidates: AMD, AMZN, GOOG, MSFT, NVDA, PLTR, SMC</div> | Review concentration/correlation warning before any owner-gated promotion review; no sizing or deployment authority.     |
| <b>Utilities</b><br>XLU              | <div>deteriorating</div> <div>1d RS 0.9076; 5d RS -5.4182</div>       | 0.0% · unrepresented<br><div>underexposed</div> <div>Candidates: —</div>        | Underexposed/unrepresented: monitor for quality candidates and require explicit promotion review before any lane change. |

**Hard boundary:** Every row below is a review-only positioning frame. It is not applied portfolio state and does not authorize target weights, sleeves, promotions, sizing, cash, or trades.

| Sector                               | Proposed tilt                                               | Rationale                                                                            | Owner-gated blocker                                                                             |
|--------------------------------------|-------------------------------------------------------------|--------------------------------------------------------------------------------------|-------------------------------------------------------------------------------------------------|
| <b>Communication Services</b><br>XLC | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Consumer Discretionary</b><br>XLY | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Consumer Staples</b><br>XLP       | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Energy</b><br>XLE                 | Maintain monitoring<br>proposal_for_review                  | No current evidence for applied tilt change.                                         | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Financials</b><br>XLF             | Concentration review<br>proposal_for_review                 | Exposure already near cap; additions require explicit concentration review.          | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Health Care</b><br>XLV            | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Industrials</b><br>XLI            | Maintain monitoring<br>proposal_for_review                  | No current evidence for applied tilt change.                                         | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Materials</b><br>XLB              | Research-positive review<br>proposal_for_review             | Improving relative tape; still requires name-level proof.                            | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Real Estate</b><br>XLRE           | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |
| <b>Technology</b><br>XLK             | Hold / no broad overweight expansion<br>proposal_for_review | Leadership is improving, but exposure or correlation already limits clean expansion. | Direct Technology is at cap at 25% vs 25% cap; AI-power correlated sleeve is 32% including ETN. |
| <b>Utilities</b><br>XLU              | Research queue / candidate search<br>proposal_for_review    | Underexposed sector; do not force exposure without quality candidate and entry.      | Owner approval, risk/sizing review, and entry/invalidation proof required before any mutation.  |

|                                   |                                                            |                                     |                                             |
|-----------------------------------|------------------------------------------------------------|-------------------------------------|---------------------------------------------|
| DEPLOYABLE NOW<br><b>1</b><br>ETN | ALMOST DEPLOYABLE<br><b>5</b><br>GOOG, GS, JPM, MSFT, NVDA | WATCH / RESEARCH<br><b>1</b><br>VRT | DO NOT TOUCH<br><b>3</b><br>BRK.B, LMT, XOM |
|-----------------------------------|------------------------------------------------------------|-------------------------------------|---------------------------------------------|

**Promotion-review split:** pending candidates = CAT, GS, LLY, NVDA; approved/promoted names = ETN, JPM. Approved/promoted does not mean automated execution.

| Name                                  | State                   | Band posture        | Next review trigger                                                                                                                                                                           |
|---------------------------------------|-------------------------|---------------------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>ETN</b><br>DEPLOYABLE NOW          | DEPLOYABLE NOW          | IN BAND             | Owner-approved Tier 1 explicit add only inside the 395.59 to 420.31 band; do not chase above 420.31; manual execution only                                                                    |
| <b>GOOG</b><br>ALMOST DEPLOYABLE      | ALMOST DEPLOYABLE       | 9.7% above band top | Pullback into 330.01 to 349.37 with the post-print structure holding; no chase after the ~10% earnings gap                                                                                    |
| <b>GS</b><br>ALMOST DEPLOYABLE        | ALMOST DEPLOYABLE       | 1.0% above band top | In band at 878.71 to 926.76, but only as a tactical add with disciplined size while JPM remains the primary bank setup                                                                        |
| <b>JPM</b><br>ALMOST DEPLOYABLE       | ALMOST DEPLOYABLE       | 1.5% below band low | Owner-approved Tier 1 setup only when price is in or reclaiming the approved 306.82 to 318.12 band, or after explicit band review; current below-band prints fail closed to almost-deployable |
| <b>MSFT</b><br>ALMOST DEPLOYABLE      | ALMOST DEPLOYABLE       | 0.6% above band top | Pullback into 389.64 to 412.56 with support holding, or stronger repair that can reclaim the 200-day cleanly                                                                                  |
| <b>NVDA</b><br>ALMOST DEPLOYABLE      | ALMOST DEPLOYABLE       | 2.1% above band top | Pullback into 186 to 191 only, not a chase above current levels                                                                                                                               |
| <b>VRT</b><br>WATCH / RESEARCH NEEDED | WATCH / RESEARCH NEEDED | 0.5% above band top | Pullback into 295.49 to 326.63 with support holding; still secondary to ETN unless the setup improves further                                                                                 |
| <b>BRK.B</b><br>DO NOT TOUCH          | DO NOT TOUCH            | IN BAND             | Only actionable on clear repair through 481 plus improving posture                                                                                                                            |
| <b>LMT</b><br>DO NOT TOUCH            | DO NOT TOUCH            | 7.7% below band low | No trigger until after earnings and a fresh post-event base                                                                                                                                   |
| <b>XOM</b><br>DO NOT TOUCH            | DO NOT TOUCH            | 3.8% below band low | Only if price stabilizes above 141.97 and starts reclaiming the 50-day with supportive energy context                                                                                         |

Downgrade / invalidation paths

- Credit spreads widen from benign levels.
- Breadth rolls from broad/recovering into narrow deterioration.
- Rates re-accelerate and pressure long-duration valuation.
- Energy/inflation pressure becomes sustained.
- Technology remains the only leadership while concentration blocks more exposure.

Upgrade conditions

- Manual-dependency trust improves without hiding caveats.
- Deployable-now list stays clean under strict surface, not weaker artifacts.
- Underexposed sectors produce high-quality candidates with clean entries.
- Pending promotion-review names get current thesis/technical/risk packets.

| Next action                                     | Why it matters                                                                 | Boundary                                                         |
|-------------------------------------------------|--------------------------------------------------------------------------------|------------------------------------------------------------------|
| Promotion-review packets: CAT, GS, LLY, NVDA    | Converts sector-level signal into name-level judgment.                         | Review only; no automatic promotion or execution.                |
| Keep approved/promoted names separate: ETN, JPM | Avoids mixing pending promotion candidates with owner-approved/promoted state. | Owner approval still does not equal automated trading authority. |
| Research underexposed sectors                   | Improves balance without forcing bad entries.                                  | Candidate quality and entry proof required.                      |
| Productize renderer as weekly shell             | Preserves reusable polished PDF path.                                          | Presentation layer only; canonical notes remain truth layer.     |

Final read: Constructive but constrained. Use this PDF to guide review order, not to mutate portfolio state.

Source lineage: tmp/market-state.json; tmp/sector-expansion-board.json; tmp/deployment-readiness-surface.json; tmp/dashboard-validation.json. Generated by scripts/render\_composite\_regime\_sector\_pdf.py. Missing sources fail closed into visible warnings rather than hidden certainty.